

Sales can also be used as a KPI if it is primary indicator of success in your industry. If a similar company's valuation is 3 times or its sales, you can use the same method to find your valuation. Here, there are two important terms:

Monthly Run Rate (MRR) =

Total Sales in last 3 months

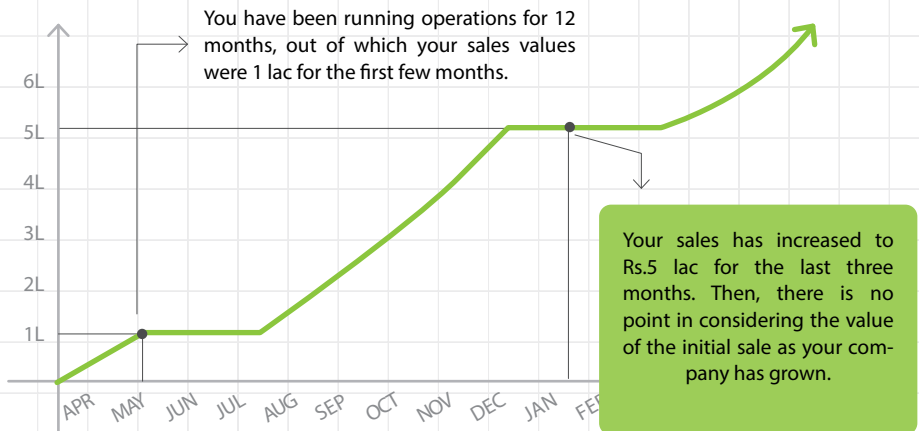
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(Average sales value of the last three months)

Annual Run Rate (ARR) =

MRR x 12

Startup grows at a decent pace. Thus, valuing your company based on number 12 months ago will not be the best idea. You can calculate ARR based on monthly run rate. What revenue will the company achieve in next 12 months looking at the currently monthly sales.



So, the MRR in this case is Rs. 5 lac. The ARR=Rs.5 lac*12= Rs.60

R gives us a valuation of Rs.60
thod to calculate value for a

F company.

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